electoral or political vulnerability and the degree of social cohesion. Depending upon how these two sets of factors combine, a state may overbalance or underbalance against a rival.[15]

A state's third option is to cooperate with the source of the threat. Thereby, it may either find a solution to the issues in dispute, thus transforming the relationship, or cooperate with the rival for the instrumental purpose of maintaining peace and stability in the short and medium terms.[16] The strategy of hedging belongs in this last category of instrumental cooperation. It involves cooperating on economic issues with the state posing the threat while persisting with competitive policies in the politico-military sphere. The aim is to "temporarily avoid an explicit confrontation" by ensuring that military preparations are counteracted by deepening economic cooperation. At the same time, preparations for "diplomatic and military confrontation" during a period of growing economic relations serve as "an insurance policy" against an opportunistic attack. In short, each of the two strands of hedging, economic cooperation and military preparation, counteracts the other to maintain a stable equilibrium.[17] However, as discussed in the introductory chapter of this volume, if a state were to engage in strategic rivalry with another by employing robust internal and external balancing efforts, its policy has moved beyond hedging even if it continues to engage economically with its rival.

Instrumental cooperation and underbalancing, 1949–1962

The source of the conflict between India and China lay in their differing positions on Tibet. India inherited the British